EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sta. Teresita was formerly known as barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular Municipality. It has thirteen (13) barangays, with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

The Municipal Government is committed to serve its constituents by maximizing the utilization of its limited resources. Like other local government units, it enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable and economic growth, as provided for in RA 7160, otherwise known as the Local Government Code of 1991.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 4 LGU Assessed Value;
2. Exemplary Performance on Revenue Generation and Resource Mobilization on Receipts from Economic Enterprises;
3. Rank 4 on Revenue Generation and Resource Mobilization on Receipts from Business Tax; and
4. Certificate of Appreciation for consistently implementing the Social Pension Program with 100% compliance on liquidation requirements.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Teresita, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/(Decrease)
			Amount
Financial Position			
Assets	360,566,610.41	328,698,209.52	31,868,400.89
Liabilities	38,838,630.92	46,729,988.17	(7,891,357.25)
Govt. Equity	321,727,979.49	281,968,221.35	39,759,758.14
Financial Performance			
Income	149,663,352.93	164,327,133.94	(14,663,781.01)
Expense	114,788,276.14	95,333,153.07	19,455,123.07
Appropriations, Allotments and Obligation			
Appropriations	151,092,816.48	150,168,258.29	924,558.19
Obligations	117,976,649.88	114,227,667.10	3,748,982.78

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2021 due to the following:

1. The validity, accuracy, propriety and existence of the Property, Plant and Equipment account appearing in the books of account totaling to P246,487,471.93 as at December 31, 2021, cannot be relied upon due to the non-conduct of physical count of PPE and the non-submission of Report on Physical Count of PPE, contrary to COA Circular 2020-006 dated January 31, 2020.

2. Road Network account balance amounting to P129,323,101.55 cannot be relied upon, contrary to Items V and VI of COA Circular No. 2015-008 dated November 23, 2015, thus, affecting the fair presentation of the account in the financial statements.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Various expenses, with an aggregate amount of P15,112,194.61, were inappropriately recorded in the Other Maintenance and Operating Expenses account, contrary to COA Circular No. 2015-009 dated December 1, 2015, thus, resulting to misstatement of accounts.

We recommended that the Municipal Accountant refrain from recording expenses under the Other Maintenance and Operating Expenses account, for which specific accounts have been provided in the Revised Chart of Accounts for LGUs, as prescribed in COA Circular No. 2015-009 dated December 1, 2015. We also recommended the reclassification of these expenses to their proper accounts to fairly present the financial statements.

2. Out of the thirty three (33) priority development projects under the 20% Development Fund of the Municipality for CY 2021, three (3) projects totaling P4.750M and ten (10) projects with continuing appropriations totaling P3.195M were not implemented as at year-end, contrary to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, thus, optimal utilization of the fund for desired socio-economic development and environmental outcomes were not attained and timely benefits therefrom were not received by the intended beneficiaries.

We recommended that the Management fast-track the implementation of the current year and continuing development projects, in order to avoid accumulation of unimplemented projects, and to ensure the optimal utilization of the 20% Development Fund in the ensuing year, pursuant to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, for the benefit of the constituents of the Municipality.

3. The Municipality resorted to splitting of contracts for the procurement of various supplies totaling P4,560,559.22, avoiding the conduct of competitive bidding, thus, depriving the government the opportunity to avail of the most advantageous prices available in the market, contrary to Section 54.1 of the 2016 Revised Implementing Rules and Regulations (IRR) of Republic Act No. 9184.

We recommended that the Management avoid splitting of procurements embodied in their Annual Procurement Plan (APP), in accordance with Section 54.1 of the Revised IRR of RA No. 9184, and that procurements should be done through competitive bidding, to obtain reasonable price offers most advantageous to the government. We also recommended that the Management only resort to Shopping, as an alternative method of procurement, in emergency/exceptional cases.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the sixteen (16) audit recommendations in the CY 2020 Annual Audit Report, nine (9) were fully implemented while six (6) were partially implemented and one (1) was not implemented.